notion of ‘regulatory capture’. Explicit calculations help ensure that the interests of the larger populace are brought on the table.

Consider the disaster resilience of a bridge in the Himalayas. In the event of an earthquake, there is a direct cost to the public–private partnership (PPP) contractor who owns the bridge, if the earthquake destroys the bridge. However, if the bridge were to be destroyed, it would also impose significant harm upon persons who live on both sides of the bridge. A sound cost–benefit analysis for improving the disaster risk resilience of the bridge would take into account the full costs and full benefits to society and not just the interests of the PPP contractor.

Long-term thinking

By default, human decision making tends to focus on the short term. A sound cost–benefit analysis would look deeper into the future, and thus green-light policy initiatives which impose costs in the short run but result in valuable improvements in the long run.

Consider a state intervention to provide or to subsidize nutrition for the young. If this is properly implemented, this yields costs in the short run and generates good results for society for decades thereafter. A similar example is found in the DTC, where tax revenues will be sacrificed in the short run, but higher GDP growth will be kicked off in the medium term.

Combating sunk costs

As humans, too often we tend to look back and are shaped by costs that have been paid in the past. Sunk cost fallacies are found in government also: Once a lot of time and effort has been put into building a scheme or an institution, policymakers are tempted to continue in the same direction. Intensification of effort comes easily to a bureaucracy as opposed to fundamental reform.